

Markets Briefing **US equities**

US stocks end lower after Fed minutes point to tighter monetary policy

Central bank members show comfort with more aggressive interest rate rises to combat inflation



Fed governor Lael Brainard says a rapid reduction of the US central bank's balance sheet could start in May © Susan Walsh/AP

Nicholas Megaw in New York, **Naomi Rovnick** in London and **William Langley** in Hong Kong

Published APR 6 2022 | Updated APR 6 2022, 16:27

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Global stocks and government bonds sold off on Wednesday as minutes from the latest Federal Reserve meeting highlighted officials' willingness to aggressively raise interest rates to combat inflation.

The US central bank raised its benchmark [interest](#) rate by 0.25 percentage points last month, but the minutes showed several participants would have preferred a sharper 0.5 percentage point increase were it not for the uncertainty caused by Russia's invasion of Ukraine. "Many" of them said at least one 0.5 percentage point increase would be appropriate later in the year.

The minutes also showed officials refining plans to start shedding assets from the Fed's balance sheet at a much faster pace than its previous effort in 2017. Lael Brainard, a Fed governor, on Tuesday [said](#) the central bank could rapidly reduce its \$9tn balance sheet from May.

Markets initially dipped early on Wednesday in the wake of Brainard's speech, and maintained most of their losses after the Fed minutes were released later in the day.

The S&P 500 stock index closed 1 per cent lower, while the tech-dominated Nasdaq Composite lost 2.2 per cent.

The declines followed what had already been a bruising day for investors in Europe and Asia. The Europe-wide Stoxx 600 index dropped 1.5 per cent, its worst daily decline in almost a month, while Hong Kong's Hang Seng index dropped 1.9 per cent and Japan's Topix fell 1.3 per cent.

Government debt also came under pressure, with the yield on the benchmark 10-year US Treasury note adding 0.06 percentage points to a fresh three-year high of over 2.60 per cent.

In Europe, the 10-year German Bund rose 0.03 percentage points to 0.6 per cent, while yields on 10-year Italian debt rose 0.04 percentage points to 2.3 per cent. Government bond yields, which underpin the rates banks charge companies and households for loans, rise as prices fall.

Investors are grappling with a difficult combination of rising inflation in the US and Europe, conflict in Ukraine and an escalating coronavirus outbreak in China. On Wednesday, the US and British governments both [toughened sanctions](#) against Russian banks in response to atrocities committed by Russian forces.

"There are many things to worry about," said Maarten Geerdink, head of European equities at NN Investment Partners, "But the one thing that matters the most is that we had a very accommodative Federal Reserve and we now have one that is on the tightening side."

Juliette Cohen, strategist at CPR Asset Management, said: “By removing these asset purchases and selling bonds that are on the balance sheet, it says we don’t need so much [monetary] accommodation due to the high level of inflation and reinforces the idea they will be hiking interest rates.

“We expect a more rapid monetary tightening, not only in the US but also in the eurozone,” she added, after the annual pace of inflation in the currency bloc hit a [record high](#) of 7.5 per cent in March.

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